

ROAD AHEAD

↘ Stop hiding behind custom duties: Industry must endure some pain to become globally competitive

↘ Role of states to increase: They should provide infrastructural support to industry

↘ Place the company above your needs: This mantra should guide top managements in both investments and policy

sector competitiveness. The functioning of government audit, too, needs to be reviewed.

Top managements of industrial enterprises have to sincerely accept that their primary objective is to grow their companies and make them globally competitive on a sustainable basis. This requires that investments and policies that enhance competitiveness should get absolute priority even over their own 'needs'. The company expenses on top management and their families should be minimal. Promoters have to show that they place their companies above themselves. They have to win trust by their actions.

Japan and Maruti Suzuki have shown the power of partnerships. If all employees in a company work as a team with the common goal of maximising competitiveness, it creates a win-win for all. Managements and workers being adversarial results in a huge cost in managing such a relationship. In addition, the positive contribution of motivated team workers is lost. All managers need to develop practices to create cohesive teams and sustain the belief of workers that maximum benefits will accrue to them when a company grows and increases profitability.

Along with that, the investible resources of the company need to be maximised. Frugal management, especially when the company needs investments to attain higher competitiveness, is an absolute must. Along with that, strong supply chains have to be built by OEMs (original equipment manufacturers) treating vendors as partners and helping them become globally competitive.

A partnership approach will in reality result in top managements becoming far wealthier, as the price of their shares soar with the faster growth of their companies. Along with them, workers, other associates and the nation will prosper and Viksit Bharat will become a reality. ■



By **Bhaskar Chakravorti**

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Walk Like a Penguin

Play nice like the bird, take small steps. Concentrate on near-term dealmaking with the US, but tariff arbitrage can't revive manufacturing. Only systemic reform can

President Donald Trump's tariffs are not only derailing the world order but also devilishly clever. It might appear that the hard-working staff at the White House inadvertently penalised a bunch of penguins hanging out on the Heard and McDonald islands 4,000 km from Australia by taxing the hapless birds. But now we know it was all done on purpose to deter the exploitation of penguins for tariff arbitrage. Howard Lutnick, the US commerce secretary, clarified that tariffs on penguins prevent countries from shipping through the islands to sneak their goods into the US. Yes, that was, indeed, a serious explanation from a cabinet-level official for goofy policy.

The penguins may have been spared, but some pundits in India are seriously considering tariff arbitrage—of a different variety—as a golden opportunity. Though deferred for three months now, Trump's tariff rate